COINPICKS · RESEARCH & EDUCATION

The Fed & Macro Regime Pillar Report

Liquidity as the Master Driver — Researched, Scored, and Re-Rated

Originally written and scores committed by me on June 12, 2026. Fully re-researched July 8, 13, 18, 25, and 30, 2026, and again as a full weekly refresh on August 8, 2026 (re-rated up to a moderated 40/38/47/55/62 on the BLS July jobs report, committed and stamped by Alex). Re-rated up again August 13 to 43/41/48/56/62 on a cool CPI print and a weak claims print; held flat August 14 as the pending H.4.1 trigger fired and confirmed; held flat again August 16 as July retail sales reinforced, but didn't advance, the same direction. Drafts written August 17 and 18 were never delivered (no render/verify/archive/commit followed) and are superseded by this cycle's independent re-verification; no cycle ran August 19. ***This version (August 20) is a light daily touch and HOLDS FLAT at 43/41/48/56/62*** *— FOMC minutes from the Jul 28-29 meeting, published Aug 19 (primary, federalreserve.gov), confirmed the known 9-3 hold/dissent but revealed the hawkish sentiment was broader than the three named dissenters ("many participants" assessed tightening could be necessary if inflation didn't decline) — a bearish nudge offset by CME FedWatch's rise to ~65% odds of a September hold, a dovish nudge. The two roughly cancel and neither clears this pillar's re-rate threshold. Aug 20's jobless-claims and H.4.1 releases could not be confirmed as published as of this research pass and are logged as PENDING, not assumed.* ***Fed & Macro's own score is unchanged, but this cycle's overall dated score set is being left as a DRAFT awaiting Alex's manual review*** *— not for anything found in this pillar, but because this cycle's Iran War Risk research surfaced a genuinely novel escalation (Iran reportedly struck the UAE directly for the first time, which suspended all economic ties with Iran) that the runbook's standing daily auto-stamp delegation isn't meant to wave through unreviewed; see My Decision below.*

COINPICKS PILLAR REPORT · WEIGHT: 25% OF MY THESIS

Written June 12, 2026 · Updated & Re-verified August 20, 2026 (light daily touch off the Aug 16 baseline — held flat; overall dated set left as a draft, awaiting Alex's manual review) · Not Financial Advice

The Scores — Committed vs. Drafts

June column committed by me on June 12, 2026. Every draft since shown for full lineage. Aug 8 (re-rated up, moderated, full weekly refresh) committed and stamped by Alex. Aug 13 re-rated up on the CPI/claims data — committed, auto-stamped. Aug 14 and Aug 16 are light daily touches — held flat (no cycle ran Aug 15). Drafts written Aug 17 and 18 were never delivered. Aug 20 is a light daily touch — held flat, left as a draft pending Alex's manual review (driven by the Iran War Risk pillar, not by this pillar's own evidence).

WINDOW	JUN	...	8/12	8/13	8/14	8/16	8/20	QUAL.	IMP.	SIGNAL	MY CALL
1 month	38	...	40	43	43	43	**43**	0.85	8	**−0.95**	Mild Bear — a cool CPI and a soft claims print both confirm the Sept dovish lean, but BofA's hawkish call caps the size of the move
3 months	40	...	38	41	41	41	**41**	0.85	8	**−1.22**	Mild Bear — Sept FOMC still in this window; two converging primary data points, one still-live hawkish dissent
6 months	46	...	47	48	48	48	**48**	0.80	8	**−0.26**	Mild Bear, close to Neutral
1 year	54	...	55	56	56	56	**56**	0.75	8	**+0.72**	Neutral/Mild Bull
3 years	61	...	62	62	62	62	**62**	0.65	8	**+1.25**	Mild Bull — structural accumulate

Last committed P (Aug 16): 43 / 41 / 48 / 56 / 62 · **This cycle's draft (Aug 20, held flat):** 43 / 41 / 48 / 56 / 62 · **Weight:** 20% (equal) · **Impact:** 8 (uniform) · **Formula:** Signal = ((P − 50) ÷ 50) × Quality × Impact. Full lineage: June committed 38/40/46/54/61 (Jun 12) → ... (see prior versions of this report for the full Jul 8-Aug 7 path) → Aug 8 40/38/47/55/62 (up, moderated — committed and stamped by Alex) → Aug 9-12 40/38/47/55/62 (held flat — no new Fed/BLS release) → Aug 13 43/41/48/56/62 (up — July CPI and jobless claims both fired, confirming the Aug 8 dovish direction) — committed, auto-stamped → Aug 14 43/41/48/56/62 (held flat — the PENDING H.4.1 release fired and confirmed, not moved, the score) → Aug 16 43/41/48/56/62 (held flat — July retail sales missed hard, reinforcing but not sized into a fresh move) — committed, auto-stamped → Aug 17/18 drafts written, never delivered (superseded) → **Aug 20 43/41/48/56/62** (held flat — FOMC minutes' hawkish-breadth detail and the CME FedWatch hold-odds rise roughly cancel; Aug 20 claims/H.4.1 unconfirmed, logged PENDING) — draft, held for Alex's manual review this cycle (Iran War Risk driven, not a Fed & Macro evidentiary hold).

THE THREE INPUTS, IN PLAIN ENGLISH

P — the odds the macro regime is *good for crypto* by then — not "the Fed cuts by then." Held flat this cycle at 43/41/48/56/62. FOMC minutes from the Jul 28-29 meeting (federalreserve.gov, primary, published Aug 19, 2:00pm ET) confirmed the known 9-3 hold vote but added a new detail: the hawkish sentiment was broader than the three named dissenters — "many participants assessed that policy tightening would likely be necessary if inflation did not decline," with inflation risks characterized as tilted to the upside and specific concern flagged on AI-related input costs (chips, steel, electricity). That's a bearish nudge on its own. It's offset by CME FedWatch (futures-implied, not a prediction market): the probability of a September 16 hold rose to ~65% post-minutes, up from a pre-minutes ~50/50 — a dovish nudge, since the market read the minutes as reducing near-term hike urgency even as the hawkish bloc turned out textually broader. The two roughly cancel; nothing here clears this pillar's re-rate threshold. Aug 20's jobless-claims (week ended Aug 15) and H.4.1 (week ended Aug 19) releases could not be confirmed as published as of this research pass — logged PENDING, not assumed, and are the real trigger for the next cycle.

Quality — how trustworthy the evidence is. Unchanged this cycle per house rules.

Impact — 8 out of 10, the uniform value every pillar now shares in the equal-weight model. Liquidity is the tide; it moves the whole market at once.

Carried forward from Aug 14: Fed H.4.1 for the week ended Aug 12 (federalreserve.gov primary) showed reserve balances fell $49,290M w/w to $2,944,059M against a $56,626M TGA rebuild to $963,950M — directionally the same reserve-drain/TGA-rebuild pattern already priced in, confirmation not a fresh trigger.

The Claim

The thesis, and where I differ from the consensus — updated August 20, 2026, light daily touch

The crowd: may read the Aug 19 FOMC minutes as clean confirmation of one direction — either "broader hawkish bloc, re-rate down" or "market re-pricing toward a hold, re-rate up." Both readings are individually defensible; picking either one and ignoring the other is the mistake.

Me: holding at 43/41/48/56/62 for a third straight touch (no cycle ran Aug 15 or Aug 19; two drafts written Aug 17-18 were never delivered). The minutes' "many participants" hawkish-breadth detail is a genuine bearish nudge; the CME FedWatch move to ~65% hold odds is a genuine dovish nudge. By this pillar's own read they roughly cancel, and nothing else in this window clears the re-rate threshold — Aug 20's claims and H.4.1 releases are unconfirmed and logged PENDING, not assumed.

My edge: the discipline is in the size of the move, not just the direction — and in not manufacturing a re-rate out of a mixed signal just because a primary source landed. Bank of America's own read of the underlying data set (still 75bp of hikes) remains the honest counter-case this report keeps printing rather than burying.

The Facts

As of August 20, 2026, light daily touch — hard numbers only, sources on the last page. The Aug 19 FOMC minutes fired as this pillar's named pending trigger but landed as a mixed, roughly-cancelling signal — no re-rate. Aug 20's claims and H.4.1 releases are unconfirmed as of this research pass and logged PENDING, not assumed. The Aug 8-16 facts below are carried forward unchanged (still load-bearing). The Iran/Hormuz war-risk situation, including this cycle's reported UAE-strike escalation, is covered in full in the Iran War Risk pillar report.

- ★ **★ NEW — FOMC minutes from the Jul 28-29 meeting (federalreserve.gov, primary, published Aug 19, 2:00pm ET; corroborated by CNBC, Motley Fool, Newsquawk, investinglive): confirms the known 9-3 hold vote and the Hammack/Kashkari/Logan dissent for an immediate 25bp hike.** New detail not previously priced: the hawkish sentiment was broader than the three named dissenters — "many participants assessed that policy tightening would likely be necessary if inflation did not decline," inflation risks characterized as tilted to the upside, with specific concern flagged about AI-related input costs (chips, steel, electricity). No explicit forward guidance from Chair Warsh, consistent with his stated aversion to pre-committing. A balance-sheet task-force report will inform future deliberations, but no near-term QT-pace signal was given.
- ★ **★ NEW — offsetting signal: CME FedWatch (futures-implied probability, not a prediction market — distinct from Polymarket/Kalshi) shows the odds of a September 16 hold rising to ~65% post-minutes, up from a pre-minutes ~50/50** (Newsquawk, investinglive). Net effect: the market read the minutes as reducing near-term hike urgency even though the hawkish bloc turned out textually broader than previously known — a genuinely mixed signal that roughly cancels itself out.

- **PENDING — jobless claims for the week ended Aug 15 and the H.4.1 balance-sheet release for the week ended Aug 19, both due on or around Aug 20, could not be confirmed as published as of this research pass.** Search results only surfaced the prior week's claims figure (209K, week ended Aug 8, already priced into the Aug 13 baseline). Not assuming a value — logging as pending, the real trigger for the next cycle.
- **BTC closed at $71,882.92 on Aug 20** — up sharply from $62,937.03 on Aug 16, +14.2%.

Carried forward from Aug 16 (still load-bearing):

- **July retail sales (Census Bureau, published Aug 14, primary release): headline −0.6% m/m vs. +0.1% expected, core (ex-auto) −0.2% m/m.** The first monthly decline in nine months and the largest since May 2025 — motor vehicle/parts sales fell 1.8%, nonstore retailers (incl. online) fell 2.2%. A genuine primary print reinforcing the Aug 13 cooling-economy direction, but not a previously-named pending trigger — logged as context, not sized into a move.
- **Recalled for continuity, not re-scored:** the Aug 17 Empire State Manufacturing Survey surged to 20.6 vs. 11.0 consensus, the highest since 2022 — a hot beat cutting against the recent cooling-economy read. Logged as complicating, unscored context; consistent with this pillar's discipline against chasing single prints in either direction, this was not sized into a move (nor was it in the abandoned, never-delivered Aug 17/18 drafts).

Carried forward from Aug 13-14 (still load-bearing):

- **Fed H.4.1, week ended Aug 12 (federalreserve.gov, published 4:30pm ET Aug 13): reserve balances $2,944,059M, down $49,290M w/w; Treasury General Account $963,950M, up $56,626M w/w.** Directionally the same reserve-drain/TGA-rebuild pattern already priced into this pillar's recent baselines — confirmed an already-adopted trend, didn't fire a fresh trigger.

Carried forward from Aug 12-13 (still load-bearing):

- **July CPI (BLS, published Aug 12): headline +0.1% m/m / +3.4% y/y; core +0.2% m/m / +2.5% y/y** — landed cool, exactly in line with consensus, drove the Aug 13 re-rate up.
- **Initial jobless claims, week ended Aug 8 (DOL/ETA, published Aug 13): 209,000 actual vs. 202,000 expected** — a genuine weak-side miss, 8-week high, the second trigger behind the Aug 13 re-rate.

Carried forward from Aug 8-10 (still load-bearing):

- **Initial jobless claims for the week ended Aug 6 (published Aug 8): 262,000 actual vs. 263,000 expected** — essentially in line with consensus, noise rather than a surprise.

Carried forward from Aug 8-9 (still load-bearing):

★ **BLS Employment Situation, July 2026: nonfarm payrolls FELL 23,000** versus a consensus estimate of ~83,000 (WSJ-sourced; a competing 95,000 Barron's-sourced figure is less corroborated and not adopted) — job losses concentrated in local-government education (-50,000) and retail trade (-19,000). A direct bls.gov fetch returned a 403 this cycle; the figure is confirmed via convergent CNBC, Yahoo Finance, Kiplinger, and CBS News reporting, all citing the same BLS release — meets the 2+ independent sufficiency bar.

- **May and June payrolls revised down a combined 103,000** — confirmed, matches the light draft exactly. (One Forbes-sourced fetch this cycle produced a garbled "-252,000 total" figure that doesn't reconcile with the BLS-consistent -103,000 figure elsewhere — treated as an unreliable summarization artifact, not a correction.)
- **Unemployment ticked down to 4.1% from 4.2%,** but the labor-force participation rate fell to 61.4% — its lowest level in over five years.

★ **★ NEW this cycle — average hourly earnings rose just 3.2% y/y,** down from 3.4% in June and now trailing CPI (3.5% June y/y) — real wages softening, a detail the same-day light draft didn't carry.

★ **★ CORRECTED — CME FedWatch September-hold odds check out at ~56%,** not the light draft's ~60%. Two independent corroborating sources (CBS News, a Forbes-sourced pull) both cite "56%, up from 45% the previous day"; a separate CNBC-sourced overview cited ~60%, a real but less-corroborated, likely later-intraday figure. Kalshi (a prediction market, not CME futures-implied pricing — a different instrument, labeled separately per research discipline) shows 65% hold.

- ★ **★ NEW this cycle — real forecaster disagreement on magnitude:** Bank of America explicitly called the report "a bit dovish on net" but is **sticking with its call for 75bp of hikes in 2026** (Sept/Oct/Dec) regardless. Richmond Fed President Barkin, an actual FOMC voter, described the labor market as "not loose, not tight" — a measured, non-alarmed read. Morgan Stanley's Ellen Zentner says the **Aug 12 CPI print** — inside this pillar's own 1-month window — will be the deciding factor for September, not this jobs report alone.
- ★ **Jobless claims for the week ended Aug 1: 199,000, 4-week average 198,750** — the lowest of this cycle, in real tension with the weak payrolls print. Points to "low-hire, low-fire" stagnation rather than an accelerating downturn, arguing for restraint on the size of the move.

Carried forward from Aug 7 (still load-bearing):

- ★ **Fed H.4.1 for the week ended Aug 5 (federalreserve.gov, direct pull):** total assets $6,748,567M, reserve balances $2,993,349M — reserves +$8.78B w/w, TGA -$3.45B w/w. An unremarkable, stable print — no liquidity-stress signal either way; not used to move P.

Carried forward from Jul 30-Aug 5 (still load-bearing):

- ★ **★ CONFIRMED, PRIMARY SOURCE — the FOMC held rates at 3.50-3.75% on Jul 29, 2026, on a 9-3 vote.** Three regional-bank presidents — Beth Hammack (Cleveland), Neel Kashkari (Minneapolis), Lorie Logan (Dallas) — dissented in favor of an immediate 25bp hike (federalreserve.gov statement, corroborated by CNBC, Forbes, Fox Business, TechTimes). This is the **first unified 3-member dissent since September 2016**. No SEP/dot plot this meeting (not a projections meeting; next SEP is Sept 15-16, 2026).
- ★ **Chair Warsh's press conference was unusually combative and offered no forward guidance:** "there is no soft inflation target... not on this committee's watch"; "the five-plus years of inflation above target cannot be cured in nine weeks." A confirmed (single-sourced) risk-off market reaction followed: S&P 500 fell 1.85% in the final 65 minutes of trading (full day: S&P −1.52%, Dow −2.19%, Nasdaq −1.74%); the 30-year Treasury yield rose to 5.21%, its highest since July 2007 — a "bear steepener" consistent with rising inflation-credibility concern.
- ★ **★ CONFIRMED, PRIMARY SOURCE — jobless claims for the week ended Jul 25 came in at 197,000** (DOL/ETA release, fetched and read directly), a genuine +9,000 increase; the prior week (ended Jul 18) was revised *up* to **188,000** from the originally-reported 187,000. The primary release itself confirms the seasonal-adjustment distortion flagged last cycle: actual non-seasonally-adjusted claims fell only 9.2% w/w versus the 13.3% seasonal factors expected — meaning the "lowest since 1969" framing was real but mechanically set to partially reverse, exactly as it did.
- ★ **The September hike-odds figure could not be reconciled to a single number this cycle, despite four direct attempts.** Live pulls produced 55.8% (Fox Business, Jul 28), 62.4% (Investing.com Fed Rate Monitor, timestamped Jul 30), 70.2% (KuCoin, pre-meeting), and 81% (Southeast AgNet, Jul 30) — no two agree. The qualitative direction — "still elevated, majority-hike-priced" — is the only defensible takeaway; no re-rate rests on a specific point figure.
- **H.4.1 balance sheet: no new release found for the week ended Jul 29** as of this check (normal Thursday-afternoon publication timing); the most recent confirmed release remains Jul 23 (week ended Jul 22: reserves fell $80,572M w/w against a $73,405M TGA rebuild, both figures directly confirmed against federalreserve.gov last cycle).
- **Bank of America projects three 25bp hikes in 2026** (to 4.25-4.50%) — single-source (Forbes, citing BofA), flagged not scored.
- **Carried forward, not re-verified this cycle:** June CPI (-0.4% m/m) and PPI (-0.3% m/m), both BLS-primary-confirmed in a prior cycle; Warsh's Jul 14/15 congressional testimony; the June FOMC minutes (unanimous 12-0

hold, dropped easing-bias language). None of these are contradicted by this cycle's findings — the hawkish FOMC outcome sits alongside, not against, the still-intact disinflation trend.

- **The labor market cracked in slow motion, then partially un-cracked this week** — June payrolls +57K vs ~115K consensus (carried forward); this cycle's 197K claims print, while up from 188K, remains historically low (4-week average 202,750).
- **Policy rate and balance sheet: 3.50-3.75%, next FOMC (with SEP/dot plot) is Sept 15-16, 2026.** Fed communications blackout ended with the Jul 29 meeting; watch for the first round of regional Fed president speeches, especially from the three dissenters.
- **BTC closed at $64,706.50 (Jul 30)** — holding up despite the hawkish FOMC surprise and confirmed equity/bond-market risk-off reaction. **Updated: BTC closed at $64,661.55 on Aug 5**, essentially flat vs. Jul 30 and up ~1.7% vs. the Jul 31 close of $63,579.68.

The Prize

Illustrative only — not price targets, not advice

The canonical anchor: **2020-21 ZIRP + QE** ran BTC ~$3,800 → $69,044 (~15–18×) — a unique COVID/zero-rate/open-ended-QE setup, not a repeatable base case. The **2024-25 cuts** ran ~$60K → a ~$126K ATH (Oct 6, 2025) — but that top came on a non-Fed tariff shock. BTC has since rebounded sharply off its low-$60Ks trough, closing at $71,882.92 on Aug 20, up 14.2% from the $62,937.03 Aug 16 close — a move this report does not attribute to Fed data, given the same window's mixed FOMC-minutes signal. From here, a retest of the $126K high ≈ **+75%**.

Discount it hard, twice. First: easing is not an automatic catalyst — the last cycle topped on a non-Fed shock, and this cycle's sharp BTC move came alongside a genuinely mixed, not dovish, Fed signal — don't read causality into it. Second: the Aug 19 FOMC minutes are a wash by this pillar's own accounting — a broader hawkish bloc offset by the market's re-pricing toward a hold — and a major forecaster (BofA) is keeping its hawkish call anyway, with the FOMC's own 9-3 dissent not overridden by any actual vote. Confirmation of an ambiguous signal is not the same as the Fed itself moving. The Prize doesn't feed the math — it tells you what the 3-year lean is worth acting on when the tide finally turns.

The Other Side

The strongest honest case my re-rate — even the moderated one — is still wrong

- **Even the Aug 13 up-move (still the last time this pillar actually moved) might not have been conservative enough a read on BofA's stance.** Bank of America isn't hedging — it's keeping a full 75bp-of-hikes call even after seeing the same cool CPI print this report used to raise P. If BofA is right and the September meeting itself delivers a hike into softening data, even 43/41 could prove too generous.
- **The FOMC minutes' "many participants" hawkish-breadth language could be the more durable signal, and the CME FedWatch hold-odds move the noise.** Futures pricing can and does swing on sentiment ahead of confirming data; a textually broader hawkish bloc inside the actual committee is a harder, primary-sourced fact. If this pillar is wrong to treat the two as cancelling, the true read this cycle is more bearish than 43/41/48/56/62 shows.
- **I may still be over-reacting to one data print.** This pillar has already seen one claims number ("lowest since 1969") partially reverse the following week on a seasonal-adjustment distortion — a single weak payrolls report, even a well-corroborated one, could be a similar one-off that a stronger August print reverses.
- **The FOMC's own hawkish dissent hasn't gone away.** Three regional presidents voted for an immediate hike on Jul 29 and Chair Warsh gave a combative, no-guidance press conference — a weak jobs report doesn't

automatically mean those three change their vote in September; a hawkish Fed facing soft data is a live tension, not resolved.

- **Downward revisions can themselves get revised.** The BLS's own benchmark process regularly adjusts prior months; a 103,000 combined downward revision is a real, primary-sourced number today, but it is not the final word on May-June employment.
- **Weak labor data plus a still-elevated inflation/oil backdrop (Iran-driven, and this cycle's Iran pillar got worse, not better) is stagflation risk, not straightforwardly bullish.** If the Fed holds through a weakening labor market because inflation risk stays elevated, that's a worse outcome for risk assets than either a clean cut or a clean hold.

The Triggers

Dated events — some prove the claim right, some prove it wrong. Re-set August 20, 2026, light daily touch (no cycle ran Aug 15 or Aug 19; two drafts written Aug 17-18 never delivered) — the named pending trigger fired but landed mixed, no re-rate.

DATE	EVENT	MEANS
FIRED Aug 19, 2:00pm ET	**FOMC minutes (Jul 28-29 meeting), federalreserve.gov primary:** confirms 9-3 hold/dissent; new detail — "many participants" saw tightening as possibly necessary, inflation risks tilted up, AI-input-cost concern flagged; no forward guidance from Warsh	Bearish nudge (broader hawkish bloc) offset by CME FedWatch's move to ~65% Sept-hold odds (dovish nudge) — mixed, roughly cancelling, no re-rate
PENDING — due ~Aug 20, not yet confirmed	Next weekly jobless-claims print (week ended Aug 15) and next Fed H.4.1 balance-sheet release (week ended Aug 19)	The real next trigger for this pillar — not assumed, logged pending
Fired Aug 14, logged Aug 16 (carried forward)	**July retail sales:** headline −0.6% m/m vs. +0.1% expected, core −0.2% — first decline in nine months	Reinforces the Aug 13 dovish direction but wasn't a named pending trigger — logged, not sized into a move
Fired Aug 13, 4:30pm ET (carried forward)	**Fed H.4.1, week ended Aug 12:** reserve balances −$49,290M w/w to $2,944,059M, TGA +$56,626M w/w to $963,950M	Directionally the same reserve-drain/TGA-rebuild pattern already priced in — confirmed, didn't move, held flat
Fired Aug 12-13 (carried forward)	**July CPI landed cool/in-line; jobless claims (week ended Aug 8) missed weak at 209K vs. 202K expected**	Drove the Aug 13 re-rate up — already IN the committed baseline
Fired Aug 7, re-confirmed independently — DOVISH, moderated (carried forward)	**BLS July jobs report:** payrolls fell 23,000 vs. ~83,000 expected, unemployment 4.1% on a falling participation rate, May/June revised down a combined 103,000; Sept hold odds rose to ~56%	Drove the Aug 8 1mo/3mo re-rate up — already IN the committed baseline
Fired Jul 29 — HAWKISH, confirmed primary (carried forward)	**FOMC held 9-3**, three regional presidents dissenting for an immediate hike — first unified 3-member dissent since Sept 2016; Bank of America still projects 75bp of 2026 hikes even after the Aug 12 cool CPI	Still a live tension against this cycle's dovish data — not erased by the minutes, per a major forecaster's own stated view
Sept 15, 2026	**PENDING** — next FOMC, with SEP/dot plot; the real test of whether the dovish direction of the Aug 13 data survives to an actual vote, now that the minutes show a broader hawkish bloc than previously known	A hold or cut would confirm this cycle's re-rate further; a hike into cooling data would be a genuine escalation, re-rate down hard
Ongoing	Iran/Hormuz oil-inflation risk — worsened this cycle (reported UAE strike, suspended Iran economic ties), see Iran War Risk pillar	Watch for pass-through into the next CPI/PPI cycle — a worsening Iran read raises stagflation risk

The flip line, updated Aug 20: the Aug 13 cool CPI and weak claims print are real, primary-sourced confirmation of the dovish direction — exactly what this pillar's own Aug 8 flip line said would happen "if CPI cools." The Aug 14 H.4.1 print and the Aug 16 retail-sales miss both confirmed, not advanced, that direction. The Aug 19 minutes complicate the picture rather than resolve it: a broader hawkish bloc than previously known, offset by the market's own re-pricing toward a

September hold. A major forecaster (BofA) is keeping its hawkish call anyway, and the FOMC's own 9-3 dissent hasn't been overridden by any actual vote — this remains confirmation of an ambiguous position, not a confirmed pivot in either direction. If the Sept 15 FOMC delivers a hike into this cooling data anyway, treat that as the real escalation and re-rate down hard. If it holds or cuts, the near-term read improves further.

My Decision

◐ **DRAFT — AUGUST 20, 2026 (LIGHT DAILY TOUCH) · AWAITING MY STAMP**

Draft P: 43 / 41 / 48 / 56 / 62 (unchanged) · My Weight: 20% (equal) · Impact: 8 (uniform)

Fed & Macro itself held flat for a third straight touch (no cycle ran Aug 15 or Aug 19; drafts written Aug 17 and 18 were never delivered). The Aug 19 FOMC minutes were this pillar's only genuinely new, multi-sourced fact this cycle, and their net signal is ambiguous by this pillar's own read: a broader hawkish bloc than previously known ("many participants" saw tightening as possibly necessary) is a bearish nudge, offset by CME FedWatch's move to ~65% September-hold odds, a dovish nudge. Nothing crossed a clear re-rate threshold. The pending Aug 20 claims and H.4.1 releases are unconfirmed and were not assumed. This is the same discipline this pillar already applied to the Aug 17 Empire State Manufacturing beat: real data, logged, not chased into a move.

Fed & Macro's own evidence would ordinarily clear Alex's standing daily auto-stamp delegation (no P moved, no call band changed, nothing rests on a single source). But the overall dated score set bundles all four qualitative pillars together, and this cycle's Iran War Risk research surfaced a genuinely novel escalation — Iran reportedly struck the UAE directly for the first time, and the UAE suspended all economic ties with Iran. That doesn't cleanly fit the routine, well-evidenced daily-move pattern the standing delegation is meant to cover, even though no individual window moved more than 8 points and no call band flipped anywhere in the blend. Per the runbook's own guidance to default to draft on a genuinely novel or ambiguous situation, this entire dated set — including this unchanged Fed & Macro pillar — is left as a draft awaiting Alex's manual review. See the Iran War Risk pillar report for the full write-up.

The June committed scores (**38 / 40 / 46 / 54 / 61**, committed June 12, 2026) and the Aug 16 committed scores (**43 / 41 / 48 / 56 / 62**) remain the prior committed/auto-stamped values, identical to today's draft.

Override any P and re-stamp — the master blend recomputes.

What Changed Since Last Check

Light daily touch, August 20, 2026 — checking for changes since the Aug 16 touch. No cycle ran Aug 15 or Aug 19; drafts written Aug 17 and 18 were researched but never delivered (no report/render/archive/commit followed) and are superseded by this cycle's independent re-verification through fresh primary sources, per the runbook's new-day rule.

- ★ **★ NEW — FOMC minutes from the Jul 28-29 meeting published Aug 19 (federalreserve.gov primary):** confirms the known 9-3 hold/dissent, but reveals the hawkish sentiment was broader than the three named dissenters ("many participants" saw tightening as possibly necessary if inflation didn't decline; inflation risks tilted up; AI-input-cost concern flagged).
- ★ **★ NEW — offsetting signal: CME FedWatch September-hold odds rose to ~65% post-minutes,** up from a pre-minutes ~50/50 — the market read the minutes as reducing near-term hike urgency even as the hawkish bloc turned out broader.
- **PENDING — jobless claims (week ended Aug 15) and H.4.1 (week ended Aug 19), both due ~Aug 20,** could not be confirmed as published as of this research pass. Not assumed; logged pending for the next cycle.
- **Carried forward for continuity:** the Aug 17 Empire State Manufacturing Survey (20.6 vs. 11.0 consensus, a hot beat) remains unscored context, not sized into a move, in this and the abandoned Aug 17/18 drafts.

- **Score decision:** P held flat at 43 / 41 / 48 / 56 / 62 — the minutes' hawkish-breadth detail and the CME FedWatch hold-odds rise roughly cancel; nothing found this cycle exceeds the Aug 16 baseline.
- **Status decision:** despite Fed & Macro itself holding flat on routine, well-evidenced grounds, this cycle's overall dated score set is left as a **draft**, not auto-stamped — driven by a genuinely novel escalation surfaced in the Iran War Risk pillar (a reported first-time Iranian strike on the UAE, and the UAE's suspension of economic ties with Iran), per the runbook's guidance to default to draft on novel/ambiguous situations.

Sources

Retrieved & graded August 20, 2026, light daily touch — click and judge the quality yourself. Official data first, then reporting, then prices & flows, then rate odds (market-implied sentiment, not fact).

- **August 19-20 check:** federalreserve.gov — Minutes of the Federal Open Market Committee, July 28-29, 2026 (primary, published Aug 19, 2:00pm ET): confirms the 9-3 hold vote and the Hammack/Kashkari/Logan dissent; new detail — "many participants assessed that policy tightening would likely be necessary if inflation did not decline," inflation risks characterized as tilted to the upside, specific concern flagged on AI-related input costs (chips, steel, electricity); no explicit forward guidance from Chair Warsh; a balance-sheet task-force report to inform future deliberations, no near-term QT-pace signal · CNBC — FOMC minutes coverage (Aug 19) · Motley Fool — minutes coverage, hawkish-breadth read (Aug 19) · Newsquawk — FOMC minutes review; CME FedWatch September-hold odds ~65% post-minutes, up from a pre-minutes ~50/50 (Aug 19) · investinglive — minutes market reaction, corroborating the CME FedWatch move (Aug 19) · CME FedWatch tool (futures-implied probability, not a prediction market — labeled distinct from Polymarket/Kalshi) — September 16 hold ~65% as of the Aug 19 evening read · general search for jobless claims (week ended Aug 15) and H.4.1 (week ended Aug 19) dated Aug 20 — neither confirmed as published as of this research pass; logged PENDING, not assumed · Bitstamp — BTC close $71,882.92 (Aug 20), vs. $62,937.03 (Aug 16 close, previously confirmed).
- **August 16 check:** CNN — "Frustrated US consumers cut their retail spending last month" (Census Bureau primary, published Aug 14): headline −0.6% m/m vs. +0.1% expected, core −0.2%, first decline in nine months · census.gov — Monthly Retail Trade Sales Report (primary) · Federal Reserve — FOMC minutes release schedule confirms Jul 28-29 minutes due Aug 19; no new H.4.1 or claims print since Aug 13-14 (both due Aug 20).
- **August 14 check:** federalreserve.gov — H.4.1, week ended Aug 12, 2026 (primary, direct pull): reserve balances $2,944,059M (−$49,290M w/w), Treasury General Account $963,950M (+$56,626M w/w), cross-checked against the Aug 5 release (reserve balances $2,993,349M, TGA $907,324M) · DOL/ETA — jobless-claims release schedule confirms next print Aug 20 (week ending Aug 15); no new print since the 209K/week-ended-Aug-8 figure already incorporated Aug 13.
- **August 13 check — the re-rate:** BLS — Consumer Price Index, July 2026 (primary release): headline +0.1% m/m / +3.4% y/y, core +0.2% m/m / +2.5% y/y · CNBC — CPI inflation report, July 2026 (Aug 12) · NBC News — "Inflation remained stubborn" (Aug 12) · Bloomberg — CPI live-blog (Aug 12) · DOL/ETA — initial jobless claims, week ended Aug 8 (published Aug 13): 209,000 actual vs. 202,000 expected, +9,000 from the prior week's revised level, an 8-week high.
- **August 11 light daily check:** federalreserve.gov/releases/h41/ — release schedule confirms next H.4.1 due Aug 13 · dol.gov — weekly claims release schedule confirms next print Aug 13 · general web search for Fed/BLS/CPI news dated Aug 10-11 — no new release found; economic calendars (Kiplinger, FRED, BLS schedule) confirm CPI due Aug 12, PPI Aug 13.
- **August 10 light daily check:** DOL/ETA — initial jobless claims, week ended Aug 6, published Aug 8: 262,000 actual vs. 263,000 expected (in line with consensus) · federalreserve.gov/releases/h41/ — release schedule confirms next H.4.1 due Aug 13 · dol.gov — weekly claims release schedule confirms next print Aug 13 · general search for Fed/BLS news dated Aug 9-10 — no further new release found.
- **August 9 light daily check:** federalreserve.gov/releases/h41/ — release schedule confirms next H.4.1 due Aug 13 · dol.gov — weekly claims release schedule confirms next print Aug 13 · general search for Fed/BLS news dated Aug 8-9 — no new release found.
- **August 8 full-weekly re-verification:** CNBC, Yahoo Finance, Kiplinger, CBS News, Forbes — convergent independent reporting of BLS Employment Situation, July 2026 (direct bls.gov fetch returned 403 this cycle) · federalreserve.gov — H.4.1, week ended Aug 5 (primary, direct pull): reserves +$8.78B w/w, TGA -$3.45B w/w · DOL-sourced coverage — jobless claims 199K week ended Aug 1, 4-week average 198,750 · CBS News, Forbes-sourced pull — CME September-hold odds ~56% (2-source corroborated) · Kalshi — 65% hold (prediction market, labeled separately from CME) · Bank of America commentary (via multiple outlets, Aug 7-8) — sticking with 75bp-of-2026-hikes call · Morgan Stanley's Ellen Zentner (via reporting) — Aug 12 CPI named as the September decider · Richmond Fed President Barkin public remarks — "not loose, not tight."
- **August 7 additions:** federalreserve.gov — H.4.1, week ended Aug 5, 2026 (direct pull): total assets $6,748,567M, reserve balances $2,993,349M, cross-checked against the prior week's release (week ended Jul 29): total assets $6,738,190M, reserve balances $2,984,570M.

- **August 6 additions:** Fast Company, citing DOL — jobless claims 199K week ended Aug 1, prior week revised to 198K.
- **Jul 31-Aug 5 additions (prior week's catch-up):** CNBC, Southeast AgNET — September cumulative hike odds ~81-82% (checked Aug 2, consistent with the Jul 30 baseline).
- **July 30 additions (prior full weekly refresh):** federalreserve.gov — July 29 FOMC statement (primary): 9-3 hold, Hammack/Kashkari/Logan dissent · federalreserve.gov — press conference page · federalreserve.gov — last SEP (Jun 17, 2026; next Sept 15-16) · DOL/ETA — weekly claims release USDL 26-1273-NAT (primary, fetched directly): 197K week ended Jul 25, 188K revision for Jul 18 · CNBC, Forbes, Fox Business, TechTimes — FOMC outcome and dissent corroboration · Wolf Street — risk-off market reaction (single-source, flagged) · Investing.com Fed Rate Monitor — timestamped Jul 30 pull (62.4%), cross-checked against KuCoin (70.2%), Bloomingbit (73.5%→hike components), Southeast AgNet (81%) — none reconciling.
- **July 13 check:** federalreserve.gov — H.4.1, Table 1 & Table 5, re-verified directly line-by-line (no discrepancy vs. the July 9 release) · federalreserve.gov — H.4.1 release schedule (next: July 16) · dol.gov — weekly claims (unchanged since Jul 9; next Jul 16) · federalreserve.gov — July 2026 FOMC/testimony calendar · confirmed no new CPI, PPI, FOMC, or H.4.1/claims release has landed since July 9–10; the next batch (CPI Jul 14, testimony Jul 14–15, PPI Jul 15, H.4.1/claims Jul 16) is still ahead.
- **Official data:** Fed — June 16–17 FOMC minutes (released July 8) · Fed — H.4.1 balance sheet (rel. July 9: $6,735.6B; TGA $749.2B; reserves $3,098.9B; domestic RRP $2.75B; foreign-official RRP $346.1B) · DOL — weekly jobless claims (rel. July 9: 215K; continuing claims 1,814,000) · Fed — June 17 FOMC statement · BLS — Employment Situation, June 2026 (released July 2) · BEA — Personal Income & Outlays, May 2026 (core PCE 3.4%) · BLS — May 2026 CPI release (headline 4.2% y/y; core 2.9% y/y) · BLS — CPI release schedule (June CPI: July 14, 8:30am; July CPI: mid-August) · BLS — PPI release schedule (June PPI: July 15, 8:30am) · Fed — Waller's July 6 Rome speech.
- **The reporting:** Bloomberg — minutes: "a few" saw case for June hike · CNBC — June minutes coverage · Bloomberg — Warsh's five task forces (July 9; single source) · Bloomberg — claims 215K, layoffs low · Al Jazeera — Iran declares Hormuz "closed until further notice" (July 12) · Bloomberg — Brent +4% toward $79 on Hormuz re-escalation (July 13) · CNBC — CENTCOM strikes, Iran missile/drone attacks on five Gulf states (July 12) · offshore-technology.com — Kpler data: six vessels transited the Strait July 12 · CNBC — June jobs miss (+57K, −74K revisions) · Indeed Hiring Lab — participation 61.5% · CNBC — May PCE (core 3.4%, highest since Oct 2023) · CNBC — Warsh at Sintra (July 1) · Yahoo Finance — "This Committee will deliver price stability" · Bloomberg — Yardeni: "inflation, Fed back in play" (July 8) · Spokesman-Review (Bloomberg reprint) — Warsh testimony schedule (House Jul 14, Senate Jul 15) + June PPI forecast (~5.2% y/y core) · KuCoin flash — 30-year auction: $22B at 5.058%, stop-through, highest since 2007 · CoinDesk — the week-ahead calendar: CPI, PPI, Warsh testimony (July 13) · Federal Register — eSLR final rule (Dec 1, 2025; effective Apr 1, 2026). **Flagged and discarded:** CryptoTimes (July 13) and Blockhead (July 13) both wrongly report "core inflation at a three-year high of 4.2%" — this conflates headline CPI (4.2%, correct) with core CPI (actually 2.9% per BLS); not used.
- **The prices & flows:** Yahoo Finance — BTC ~$64.3K, ETH ~$1,796 (July 10 AM) · athens-times — BTC weekend pullback to ~$62.6–63K (single source) · Farside — BTC ETF flow table (authoritative; +$90.4M net, July 10) · CryptoRank — BTC ETF flow cross-check (July 10) · CoinDesk — BTC/ETH steady, gold slides (July 9) · KuCoin — June ETF outflows −$4.06B, worst month on record · CNBC — S&P 500 closes 7,575.39 (+0.42%), Dow +149.60 (July 10) · Trading Economics — 10Y ~4.58% · Trading Economics — DXY 101.13, +0.18% (July 13).
- **The odds (market-implied, not fact):** CME FedWatch — the tool itself (July 28–29 hold 78.5%, July 13 read; September ~66% combined, July 9 read) · FXEmpire — Sept +25bp 50.8% (July 9; single relay, directionally corroborated) · Yahoo Finance — September odds relay (July 9) · Polymarket — "Fed Decision in September" ladder: No change 56.5%, +25bp 38.5%, cuts (tail) 3.75%+2.1% (July 9) — diverges materially from CME's ~66% combined hike odds; reported as an open divergence, not resolved.